CASCADIA ANALYTICS

MercadoLibre, Inc.

Equity Research Note | MELI | 21 OCTOBER 2026

LatAm Ecosystem Leader

MercadoLibre screens as a Buy with a $3,025.28 blended target, 61% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$1,879.50	$3,025.28	+61%	BUY

Investment Thesis

LatAm Ecosystem Leader. Marketplace, Mercado Pago, logistics, credit, and ads form one flywheel: 89.3M active buyers, $101B TPV, $16.4B credit portfolio [Q2 PR]. Ecosystemic users using both sides grow 37% and are the most profitable cohort [Q2 call]. Growth at Scale. Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY [Q2 PR]. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock. Margin Compression Is a

- LatAm Ecosystem Leader
- Growth at Scale
- Margin Compression Is a Choice

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The latest print

Growth at Scale. Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock.

Margin Compression Is a Choice. Op margin of 6.7%, down 550 bps, is deliberate reinvestment, not share loss. At $1,879.50 the market prices a 12% CAGR while our DCF base $2,812.04 needs ~22% and implies 50% upside. PEG of 1.01 agrees the market is underpricing it.

$10.17B	$21.9B	$101.0B	$16.4B	6.7%	$9.19
REVENUE (Q2 2026)	GMV	TOTAL PAYMENT VOLUME	CREDIT PORTFOLIO	OPERATING MARGIN	EPS (Q2)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$10.17B	+49.8%	Up
GMV	$21.9B	+44% (+36% FXN)	Up
Total Payment Volume	$101.0B	+56%	Up
Credit Portfolio	$16.4B	+75%	Up
Operating Margin	6.7%	-5.5 pts	Down
EPS (Q2)	$9.19	-10.9%	Down
Unique Active Buyers	89.3M	n/a	Up

The moat

GMV $21.9B (+44% YoY, +36% FXN) with 795.4M items sold (+45%) and 89.3M active buyers

The growth engine

Mercado Pago TPV $101B (+56% YoY); credit portfolio $16.4B (+75% YoY) with improving delinquency

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	14.0%	$67.39B	10.0%	**$1,284.91**	-32%
Base	50%	22.0%	$94.59B	14.5%	**$2,812.04**	+50%
Bull	25%	28.5%	$122.63B	18.0%	**$5,192.15**	+176%

Bear: downside case at $1,284.91 (-32%).

Base: central case at $2,812.04 (+50%).

Bull: upside case at $5,192.15 (+176%).

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The probability-blended target implies 61% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +61% from the $1,879.50 reference price.

$3,025.28
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

TTM revenue base	**$35.00B**
Valuation horizon	**2026-2030**
Live WACC	**9.93%**
Terminal growth	**3.0% / 4.0% / 5.0%**
Net debt	**$6.40B**
2030 FCF (Base)	**$11.49B**
10-year Treasury yield	**5.1%**
Beta	**1.31**
Equity risk premium	**3.7%**

BUY | $3,025.28 BLENDED TARGET | WEN

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MercadoLibre, Inc. valuation framework

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 12.5%. Verdict vs scenarios

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$0.1B	$1,029.90	+20%	$0.1B	$2,589.88
+1%	$0.1B	$1,084.19	+21%	$0.1B	$2,699.18
+2%	$0.1B	$1,140.57	+22%	$0.1B	$2,812.04
+3%	$0.1B	$1,199.11	+23%	$0.2B	$2,928.56
+4%	$0.1B	$1,259.87	+24%	$0.2B	$3,048.82
+5%	$0.1B	$1,322.91	+25%	$0.2B	$3,172.90
+6%	$0.1B	$1,388.31	+26%	$0.2B	$3,300.91
+7%	$0.1B	$1,456.11	+27%	$0.2B	$3,432.94
+8%	$0.1B	$1,526.41	+28%	$0.2B	$3,569.08
+9%	$0.1B	$1,599.25	+29%	$0.2B	$3,709.43
+10%	$0.1B	$1,674.71	+30%	$0.2B	$3,854.08
+11%	$0.1B	$1,752.87			
+12%	$0.1B	$1,833.79			
+13%	**$0.1B**	**$1,917.56**			
+14%	$0.1B	$2,004.23			
+15%	$0.1B	$2,093.90			
+16%	$0.1B	$2,186.64			
+17%	$0.1B	$2,282.53			
+18%	$0.1B	$2,381.64			
+19%	$0.1B	$2,484.07			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$71.54B	—	3.0%	-$6.40B	$65.14B	**$1,284.91**
Base	$148.96B	—	4.0%	-$6.40B	$142.56B	**$2,812.04**
Bull	$269.63B	—	5.0%	-$6.40B	$263.23B	**$5,192.15**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$1,284.91	$1,412.50	$1,494.89	$1,571.65	$1,639.51	$1,694.36
Base	$2,812.04	$3,091.28	$3,336.30	$3,576.61	$3,801.96	$3,998.18
Bull	$5,192.15	$5,707.73	$6,209.27	$6,717.24	$7,212.85	$7,667.91

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $3,025.28 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The SOTP cross-check: $2,315.48 per share

The workbook values each segment on its own operating basis (as of October 20, 2026), because the segments compound at different rates and carry different margin profiles. The Base case is shown.

COMPONENT	OPERATING BASIS	MULTIPLE	ENTERPRISE VALUE
Commerce & Envios (Marketplace & Logistics)	$87.70B	0.80x EV / GMV	$70.16B
Mercado Pago (Payments & Acquiring)	$403.81B	0.08x EV / TPV	$32.30B
Mercado Credito (Lending)	$16.40B	1.30x credit book	$21.32B
Total enterprise value			**$123.79B**
Less: net debt			**$6.40B**
Implied equity value			**$117.39B**
Diluted shares			**50.7M**
SOTP value per share (Base)			**$2,315.48**

Commerce & Envios (Marketplace & Logistics): Commerce GMV, annualized of $87.70B (GMV +44% YoY), valued at 0.80x EV / GMV for $70.16B, 59.8% of equity value. Mercado Pago (Payments & Acquiring): Mercado Pago TPV, annualized of $403.81B (TPV +56% YoY), valued at 0.08x EV / TPV for $32.30B, 27.5% of equity value. Mercado Credito (Lending): Mercado Credito credit portfolio of $16.40B (Credit book +75% YoY), valued at 1.30x credit book for $21.32B, 18.2% of equity value.

Against the DCF: the SOTP cross-check of $2,315.48 per share versus the DCF Base target of $2,812.04, a difference of -$496.56 (-17.7%).

Methodology note. Segment bases and multiples are the SOTP tab's scenario matrix in the model workbook (Base case); segment values are enterprise values before the net cash / debt bridge to equity value. See the SOTP tab in the workbook.

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Agency risk score 67 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 6.96% of shares outstanding. Form 4 filings over the trailing six months show $1.19M of open-market purchases against $0 of sales, a net flow of $1.19M. One-year total shareholder return is -10.3% against CEO total pay of $4.30M (Mr. Ariel Szarfsztejn), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	25 / 40	6.96% of shares held by insiders
Form 4 Flow (Conviction Flow)	30 / 30	Buys $1.19M (2) vs sales $0 (0), net $1.19M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -10.3%; Mr. Ariel Szarfsztejn, CEO & President, total pay $4.30M
Agency Risk Score	**67 / 100**	Regime: BALANCED / TYPICAL CORPORATE

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-06-11	Melamud Marcelo	Officer	BUY	124	$200.0K
2026-05-22	Aguzin Alejandro Nicolas	Director	BUY	600	$993.6K

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SEC proxy audit, DEF 14A filed 2026-04-23

Alignment grade B. CEO TRANSITION ANNOUNCED (SCT OMITTED). Ariel Szarfsztejn, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Founder Marcos Galperin transitioned to Executive Chairman on January 1, 2026, with Ariel Szarfsztejn elevated to Chief Executive Officer. Executive compensation figures and the Summary Compensation Table are omitted from this excerpt, preventing quantitative pay-for-performance and TSR analysis. Governance mechanics show a fully independent compensation committee with robust risk oversight and established director compensation standards.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1099590/000109959026000010/meli-20260423.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Deliberate Margin Compression

Op margin fell 550 bps YoY to 6.7% as management lowered take rates, raised marketing, and expanded logistics. The team says reinvestment will not slow, so near-term earnings stay compressed.

Credit Risk

Credit portfolio up 75% YoY to $16.4B with higher provisions. Delinquency improved to 7.0% but a LatAm downturn could spike bad debts quickly given the growth pace.

LatAm Macro and FX

Revenue, margins, and credit quality are all exposed to ARS/BRL/MXN swings. Argentina posted 38% FXN GMV growth but consumption there remains fragile.

Competition

Amazon and Shopee compete across the region. MercadoLibre leads on logistics and fintech integration, but price competition in commerce pressures take rates.

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The strengths

Operating Quality

Dominant LatAm platform with a real ecosystem moat: marketplace, payments, logistics, credit, and ads reinforcing each other. Ecosystemic users (commerce + fintech) are materially more profitable and growing 37%. FCF margin hit 37% in FY25.

Recent Trend

Operating momentum is exceptional: revenue +50%, GMV +44%, TPV +56%, credit +75% YoY. But net income fell ~11%, op margin compressed 550 bps, and EPS has missed twice in the last four quarters. The stock is down 11% in a month and sits 22%

Forward Growth

Growth is confirmed, not speculative: all three core markets growing double digits FXN, credit compounding at 75%, ads at 62% FXN, and 37% growth in the highest-value user cohort. DCF base case embeds ~22% implied CAGR, and the trajectory s

Valuation

DCF base $2,812.04 implies 50% upside and the market prices only a 12% CAGR, well below base-case growth. NTM PEG of 1.01 is cheap for 40%+ revenue growth. Trailing P/E of 46.6x looks elevated but compresses fast as investment normalizes.

Cascadia scorecard

Composite score 79: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Dominant LatAm platform with a real ecosystem moat: marketplace, payments, logistics, credit, and ads reinforcing each other. Ecosystemic users (commerce + fintech) are materially more profitable and growing 37%. FCF margin hit 37% in FY25. Margin compression is deliberate investment, not competitive erosion.	88
Recent Trend	Operating momentum is exceptional: revenue +50%, GMV +44%, TPV +56%, credit +75% YoY. But net income fell ~11%, op margin compressed 550 bps, and EPS has missed twice in the last four quarters. The stock is down 11% in a month and sits 22% below its 52-week high. Great business, choppy stock.	70
Forward Growth	Growth is confirmed, not speculative: all three core markets growing double digits FXN, credit compounding at 75%, ads at 62% FXN, and 37% growth in the highest-value user cohort. DCF base case embeds ~22% implied CAGR, and the trajectory supports it.	92
Valuation	DCF base $2,812.04 implies 50% upside and the market prices only a 12% CAGR, well below base-case growth. NTM PEG of 1.01 is cheap for 40%+ revenue growth. Trailing P/E of 46.6x looks elevated but compresses fast as investment normalizes.	72
Catalysts & Risk	Q3 earnings on Nov 4 with margin trajectory as the key debate; improving credit quality supports the fintech ramp. Risks: LatAm FX and macro (Argentina, Brazil), rising credit provisions, and a management team explicitly choosing investment over near-term profitability. Positive skew.	72

Investment view

Q3 earnings on Nov 4: the swing factor is margin trajectory vs the investment pace, not revenue. If op margins stabilize while GMV/TPV hold 30%+ FXN growth, the base case ($2,812.04) comes into play; credit deterioration or a LatAm FX shock would test the bear ($1,284.91).

Investment view: Buy. The $3,025.28 blended target implies +61%, balancing the $1,284.91 / $2,812.04 / $5,192.15 Bear / Base / Bull outcomes.

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